

MB 307: Cost and Management Accounting

Course Code: MB 307

Course Name: Cost and Management Accounting

L-T-P-C: 3-0-0-3

Prerequisites: Foundations of Business Management (MB 201) and Financial Accounting (MB 303)

Intended for: Integrated MBA

Mutual Exclusion: NA

Approval: 59th BoA (I-MBA curriculum); course proposal approved in the 62nd BoA

Preamble

The course emphasizes understanding cost and management accounting methods to make better managerial decisions and cost control. This course also enables the participants using cost information in other functions of management likes sales, production, operations, etc., using multidimensional approach of teaching. The course is designed on this theme and it enables the student to:

- Understand measurement of costs and tracing them to products and customers.
- The role of relevant costs to develop better strategies for competitive advantage.
- Using Cost-Volume-Profit analysis to anticipate and assess financial impact of alternative managerial decisions.
- Understand Variance analysis in cost control.
- Develop analytical skills related to design and implementation of management systems that are used to plan and control firm's performance.

Course Modules

- **Introduction to Cost and Management Accounting (CMA), and Cost Classification:** This modules enables introducing the importance and role of CMA, and multiple cost classifications based on variability, traceability, function, nature, etc. (4 hours)
- **Cost-Volume-Profit Analysis (CVP):** This module enables the participants to understand break even analysis and using CVP analysis for short-term decisions. (4 hours)
- **Cost Ascertainment using Traditional Costing:** This section enables participants in understanding the cost of multiple products and services using traditional costing system. This includes primary as well as secondary distribution of the cost. (5 hours)
- **Cost Ascertainment using Activity Based Costing:** This section enables participants in understanding the cost of multiple products and services using activity based costing system. This includes time driven activity based costing also. (6 hours)
- **Relevant Costing for decision making:** This section should enable the students in identifying relevant costs for various short-term as well as long term managerial decisions like make or buy, continue or discontinue, pricing decision, etc. (6 hours)

- **Budgeting:** This module enables the participants in understanding importance of budgeting, requirements of budgeting, types of budgeting and preparing budgets. (5 hours)
- **Variance Analysis:** This modules makes the participants understand the process of budgetary control system, importance of variance analysis, computation of multiple variances and analysis of variance for managerial actions. (5 hours)

Laboratory/Practical/Tutorial Modules

None

Text Books

1. *Horngren's Cost Accounting: A Managerial Emphasis* by Srikant Datar and Madhav Rajan, Pearson Publishers.

References

1. *Accounting Simplified* by Rachappa Shette, Penguin Publishers.
2. *Management and cost accounting* by Colin Drury.